Practice workbook · Effects of inflation and deflation, including menu and shoe leather costs

Effects of inflation (and deflation) on purchasing power, real wages, confidence, uncertainty and investment; the named costs of repricing (menu costs) and searching for lower prices (shoe leather costs); and why low, stable inflation is an objective.

19 question parts: 1 worked-example retry and 18 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T21-09

1. Question 1 · part h · 6 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part h only.

1 (a) Which **one** of the following is a characteristic of progressive taxation?

(1)

- ☒ **A** The tax rate is the same for all income levels
- ☒ **B** The tax rate decreases as income increases
- ☒ **C** The tax rate increases as income increases
- ☒ **D** The tax rate fluctuates based on the overall level of GDP of the economy

(b) Which **one** of the following describes a fiscal surplus?

(1)

- ☒ **A** The value of imports is less than the value of exports
- ☒ **B** The value of imports is greater than the value of exports
- ☒ **C** Government revenue is less than government expenditure
- ☒ **D** Government revenue is greater than government expenditure

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(c) What is meant by the term income inequality?

(2)

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1. Question 1 · part h · 6 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part h only.

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(d) Describe **one** role of the World Trade Organization (WTO).

(2)

A country has a labour force of 34 million people of which 32 million people are employed.

(e) Calculate, to two decimal places, the **rate of unemployment**. You are advised to show your working.

(2)

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1. Question 1 · part h · 6 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part h only.

In January 2023, China introduced a tariff on imports of large tyres.

(f) Using the diagram below, draw the effects of the introduction of the tariff on the equilibrium price and quantity of large tyres. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

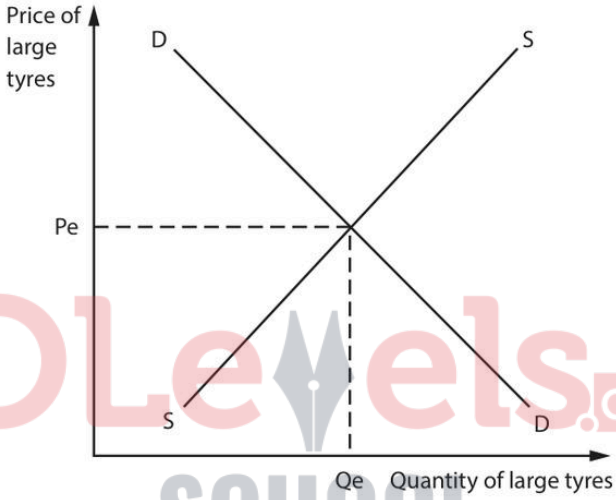


Figure 1

In January 2023, China and Ecuador announced they would be signing a free trade agreement after a year of negotiations. The deal is expected to boost Ecuador's exports of shrimp, bananas, flowers, cocoa and coffee to China.

(g) Explain **one** advantage of free trade for businesses in Ecuador.

(3)

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1. Question 1 · part h · 6 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part h only.

Inflation in Germany reached a record annual rate of 10.4% in October 2022. It is predicted to remain high for another two years.

(h) With reference to the data above and your knowledge of economics, analyse the impact of high rates of inflation on consumer confidence in a country such as Germany.

(6)

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(Total for Question 1 = 20 marks)

1. Question 1 · part h · 6 marks · Working and answer

Working and answer

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2. Question 3 · part d · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

3 (a) Kenyans who holiday in South Africa would be shown on the Kenyan current account as

(1)

- ☒ **A** an invisible import
- ☒ **B** a visible export
- ☒ **C** a visible import
- ☒ **D** an invisible export

(b) Which **one** of the following is an example of an indirect tax?

(1)

- ☒ **A** Inheritance tax
- ☒ **B** Income tax
- ☒ **C** Business tax
- ☒ **D** Value added tax

(c) Explain **one** way a government could reduce inequality and poverty.

(3)

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2. Question 3 · part d · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

In December 2017, Argentina's Consumer Price Index (CPI) increased from 20.9% to 25%.

(d) Analyse the possible impact of high inflation on consumers in a country such as Argentina.

(6)

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P 6 0 7 5 0 A 0 1 1 2 0

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Turn over

2. Question 3 · part d · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

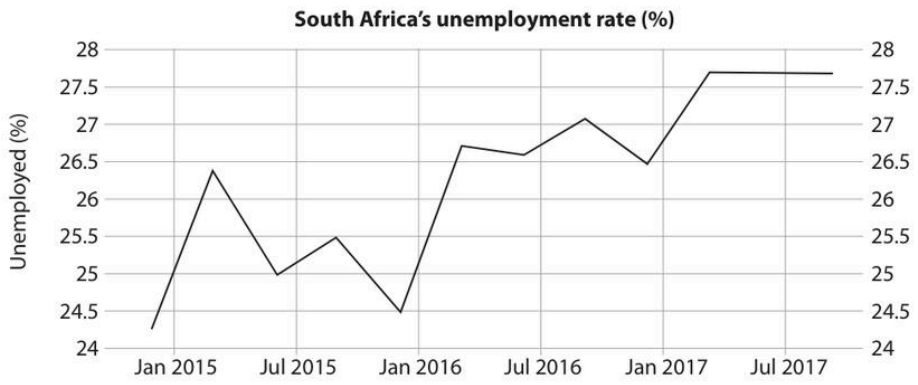


Figure 3

In 2017, unemployment in South Africa reached its highest level in 13 years at 27.7%. Concerns have been expressed about the very high levels of youth unemployment and the social problems this might cause. Statistics show that 39% of all unemployed South Africans have never worked before and for young people this figure is even higher, at 60.3%.

(e) With reference to the data above and your knowledge of economics, assess the impact of high rates of unemployment on a country such as South Africa. (9)

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2. Question 3 · part d · 6 marks · Working and answer

Working and answer

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3. Question 3 · part e · 9 marks

2019 JUN · Paper 02

Further practice · Attempt part e only.

3 (a) What is the name given to a country's exports and imports of physical goods?

(1)

- ☒ **A** Trade in goods
- ☒ **B** Income flows
- ☒ **C** Trade in services
- ☒ **D** Transfer payments

(b) What term refers to a firm or country selling an export below the cost of production?

(1)

- ☒ **A** Quotas
- ☒ **B** Dumping
- ☒ **C** Deregulation
- ☒ **D** Tariffs

(c) Explain **one** method of government intervention that could be used to protect the environment.

(3)

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3. Question 3 · part e · 9 marks

2019 JUN · Paper 02

Further practice · Attempt part e only.

(d) Analyse the possible impact of unemployment on an economy.

(6)

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3. Question 3 · part e · 9 marks

2019 JUN · Paper 02

Further practice · Attempt part e only.

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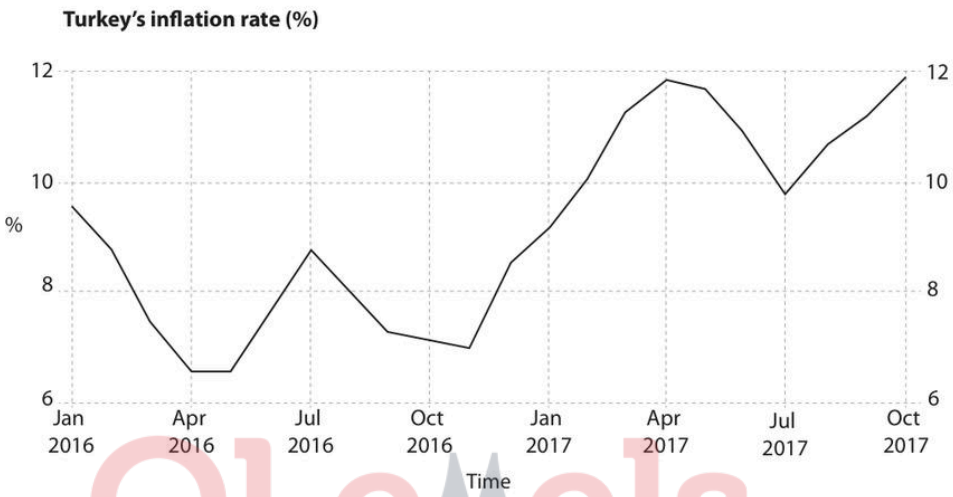


Figure 3

Inflation remains a major problem for Turkey's economy. Annual inflation in Turkey increased to 11.9% in October 2017. The highest price rises were for transportation, which rose by 16.79% and food, which increased by 12.74%.

(e) With reference to the data above and your knowledge of economics, assess the impact of inflation on a country such as Turkey.

(9)

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3. Question 3 · part e · 9 marks

2019 JUN · Paper 02

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

3. Question 3 · part e · 9 marks · Working and answer

Working and answer

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4. Question 1 · part d · 2 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part d only.

1 (a) What is calculated by using the consumer price index (CPI)?

(1)

- ☒ **A** Redistribution of income
- ☒ **B** Inflation rate
- ☒ **C** Economic growth
- ☒ **D** Exchange rate

(b) The sale or transfer of public sector assets to the private sector is known as

(1)

- ☒ **A** monetary policy
- ☒ **B** public expenditure
- ☒ **C** privatisation
- ☒ **D** fiscal policy

(c) What is meant by the term boom?

(2)

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4. Question 1 · part d · 2 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part d only.

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(d) What is meant by the term shoe leather costs?

(2)

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(e) Calculate **the price in Indian Rupees (INR)** of machinery which costs $150 000 when the exchange rate is $1 = 70.66 INR. You are advised to show your working.

(2)

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4. Question 1 · part d · 2 marks · Working and answer

Working and answer

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5. Question 3 · part c · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part c only.

3 (a) A fiscal surplus occurs when

(1)

- ☒ **A** a country exports more than it imports
- ☒ **B** government revenue is greater than government expenditure
- ☒ **C** a country imports more than it exports
- ☒ **D** government expenditure is greater than government revenue

(b) In an exchange rate system without government intervention, a rise in the exchange rate is known as

(1)

- ☒ **A** appreciation
- ☒ **B** devaluation
- ☒ **C** depreciation
- ☒ **D** revaluation

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5. Question 3 · part c · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part c only.

The rate of inflation in Cyprus decreased from 3.1% in September to 3% in October.

(c) Explain **one** reason why low and stable inflation is a macroeconomic objective for a country such as Cyprus.

(3)

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5. Question 3 · part c · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part c only.

In November 2018, the South African Monetary Policy Committee decided to increase interest rates by 0.25% to 6.75%. This decision affected the currency of South Africa, the Rand.

(d) Analyse the likely impact of an increase in interest rates on the currency of South Africa.

(6)

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5. Question 3 · part c · 3 marks · Working and answer

Working and answer

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6. Question 1 · part g · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part g only.

1 (a) What type of unemployment is likely to be caused by generous welfare benefits?

(1)

- ☒ **A** Seasonal
- ☒ **B** Cyclical
- ☒ **C** Voluntary
- ☒ **D** Structural

(b) What name is given to the phase in the economic cycle when consumers start to regain confidence and economic activity is on the increase?

(1)

- ☒ **A** Boom
- ☒ **B** Downturn
- ☒ **C** Recession
- ☒ **D** Recovery

(c) What is meant by the term central bank?

(2)

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6. Question 1 · part g · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part g only.

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(d) Describe **one** disadvantage of free trade for domestic businesses.

(2)

Figure 1 shows the income tax rates for Cyprus in 2018. George earns €21 000 as a manager. This means George only pays tax on €1 500.

Taxable income (€)	Tax rate (%)
0 to €19 500	0%
€19 501 – €28 000	20%

Figure 1

(e) Calculate the **net pay** in euros (€) for George. You are advised to show your working.

(2)

6. Question 1 · part g · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part g only.

(f) Using the diagram below, draw the effect of the introduction of a new quota that is less than the original quota. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

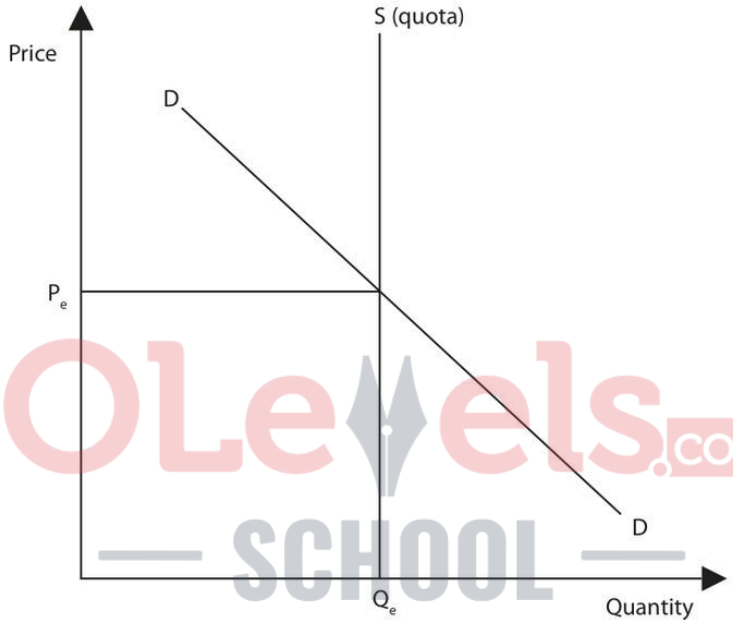


Figure 2

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6. Question 1 · part g · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part g only.

Mexico plans to increase the country's minimum wage by 16% to $5.10 a day.
Mexico's President promised further rises to keep up with the high rates of inflation.

(g) Explain the impact of high rates of inflation on wages in a country such as Mexico.

(3)

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6. Question 1 · part g · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part g only.

In March 2018, 44 African countries signed a deal to create one of the world's largest trade blocs, the African Continental Free Trade Area (AfCFTA). AfCFTA will create a market of 1.2 bn people with a gross domestic product (GDP) of $2.5 trillion.

(h) Analyse the benefits to a country of being a member of the African Continental Free Trade Area (AfCFTA).

(6)

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(Total for Question 1 = 20 marks)

6. Question 1 · part g · 3 marks · Working and answer

Working and answer

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7. Question 4 · part b · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part b only.

4 Zhang Li had 8 000 Yuan (¥) in her savings account. The annual interest rate for this savings account was 2.25%.

(a) Calculate how much **interest, in Yuan (¥)**, Zhang Li received in one year. You are advised to show your working.

(2)

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7. Question 4 · part b · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part b only.

In July 2019, China's annual inflation rate increased to 2.8%. This was the highest rate since February 2018.

(b) With reference to the data above and your knowledge of economics, analyse the impact of inflation on individuals in a country such as China.

(6)

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Turn over

7. Question 4 · part b · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part b only.

Since March 2019 the overall inflation rate for China has been above 2%. In July 2019, China's food prices increased by 9.1% from the previous year. In particular, meat prices rose by 27% due to the spread of infectious animal diseases. At the same time fresh fruit prices rose by 39.1% as the Chinese fruit supply had been affected by severe weather.

China's central bank is called the People's Bank of China (PBOC). The PBOC has the responsibility of maintaining price stability and promoting growth through the management of monetary policy.



(Source adapted from: tradingeconomics.com)

Figure 5

(c) With reference to the data above and your knowledge of economics, evaluate the effectiveness of monetary policy in controlling inflation in a country such as China.

(12)

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7. Question 4 · part b · 6 marks · Working and answer

Working and answer

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8. Question 3 · part a · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

3 (a) Which **one** of the following describes shoe leather costs?

(1)

- ☒ **A** The costs of raw materials used to make a good or service
- ☒ **B** The costs of communication used by a firm
- ☒ **C** The costs of searching for cheaper suppliers when inflation is high
- ☒ **D** The costs to firms of having to make repeated price changes

(b) Which **one** of the following may cause a current account surplus?

(1)

- ☒ **A** Lower priced foreign goods
- ☒ **B** Higher priced domestic goods
- ☒ **C** Lower import tariffs on foreign goods
- ☒ **D** Higher quality of domestic goods

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8. Question 3 · part a · 1 mark · Working and answer

Working and answer

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9. Question 3 · part d · 6 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

3 (a) Which **one** of the following describes shoe leather costs?

(1)

- ☒ **A** The costs of raw materials used to make a good or service
- ☒ **B** The costs of communication used by a firm
- ☒ **C** The costs of searching for cheaper suppliers when inflation is high
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- ☒ **D** Higher quality of domestic goods

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9. Question 3 · part d · 6 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

In 2020, the Kazakhstan Government introduced quotas of 200,000 tonnes on imported wheat and 70,000 tonnes on imported flour.

(c) Explain **one** possible reason why the Kazakhstan Government introduced quotas on imports of wheat and flour.

(3)

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9. Question 3 · part d · 6 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

In February 2020, Singapore experienced deflation for the first time since January 2010. This was mainly caused by a decline in the price of airfares and holidays due to the government lockdown.

(d) With reference to the data above and your knowledge of economics, analyse the impact of deflation on consumer confidence in a country such as Singapore.

(6)

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9. Question 3 · part d · 6 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

The UK has a benefits payment called Universal Credit. It is a payment to help with living costs if a person is on low income or out of work.

	Monthly standard allowance (£)
Single adult aged under 25 years	342.72
Single adult aged over 25 years	409.89
A couple/two adults both aged under 25 years	488.59
A couple/two adults both aged over 25 years	594.04

Figure 3

(Source adapted from: https://www.gov.uk/universal-credit/what-youll-get)

(e) With reference to the data above and your knowledge of economics, assess the advantages of using benefit payments to redistribute income in a country such as the UK.

(9)

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9. Question 3 · part d · 6 marks · Working and answer

Working and answer

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10. Question 2 · part e · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.

2 (a) Globalisation results in increasing

(1)

- ☒ **A** levels of debt for all national economies
- ☒ **B** protectionism amongst national economies
- ☒ **C** amounts of legislation for national economies
- ☒ **D** integration and interdependence of national economies

(b) Which **one** of the following is a possible impact of economic growth?

(1)

- ☒ **A** An increase in unemployment
- ☒ **B** An increase in environmental damage
- ☒ **C** A reduction in investment
- ☒ **D** A reduction in tax revenues

(c) State **one** type of unemployment.

(1)

(d) What is meant by the term recovery?

(2)

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10. Question 2 · part e · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.

Nigeria's rate of inflation increased to 12.2% in February 2020. A rise in the price of food products, such as bread and meat, was the main reason for the increase.

(e) Explain **one** impact of rising inflation on shoe leather costs in Nigeria.

(3)

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10. Question 2 · part e · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.

Figure 3 shows the supply of and demand for the UK pound (£) in terms of US dollars ($) and the equilibrium exchange rate.

(f) Using the diagram below, draw the effects on the exchange rate of the UK pound (£) from an increase in UK exports to the US. Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

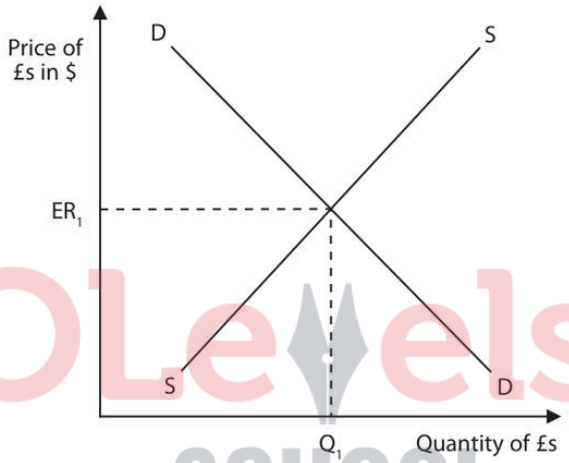


Figure 3

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10. Question 2 · part e · 3 marks · Working and answer

Working and answer

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11. Question 1 · part g · 3 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

1 (a) What does the International Labour Organisation (ILO) measure?

(1)

- ☒ **A** Economic growth
- ☒ **B** Unemployment
- ☒ **C** Government spending
- ☒ **D** Inflation

(b) Which **one** of the following is considered to be a progressive tax in the UK?

(1)

- ☒ **A** Income tax
- ☒ **B** Value added tax (VAT)
- ☒ **C** Excise duties
- ☒ **D** Import tariff

(c) What is meant by the term deregulation?

(2)

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11. Question 1 · part g · 3 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

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(d) Describe **one** negative impact of economic growth.

(2)

(e) Calculate the **price in euros (€)** of a UK manufactured car priced at £15 000 when the exchange rate is £1 = €1.10. You are advised to show your working.

(2)

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11. Question 1 · part g · 3 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

In December 2020, the European Union (EU) decreased the 8% import tariff on lobsters from the US.

(f) Using the diagram below, draw the effects of the decrease in the tariff on the equilibrium price and quantity of US lobster imports into the EU. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

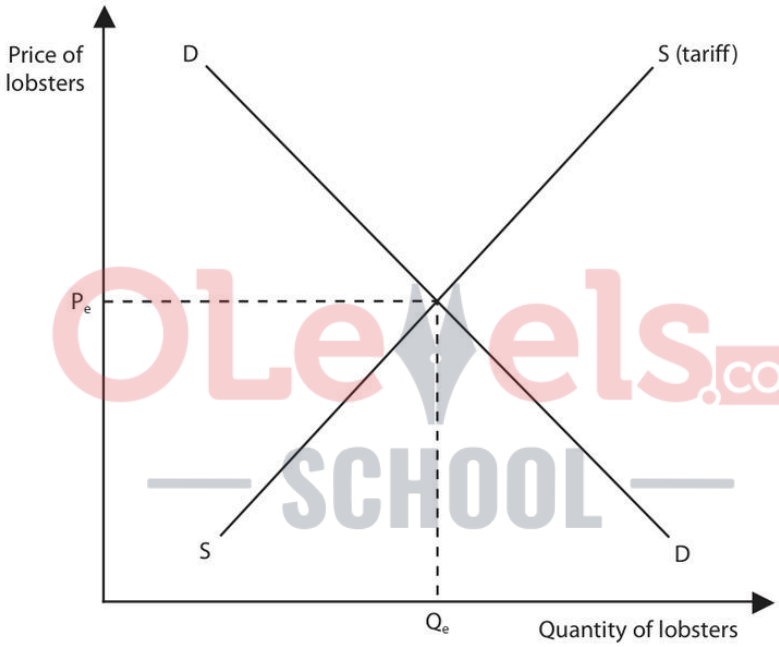


Figure 1

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11. Question 1 · part g · 3 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

Mexico's annual inflation rate was 3.4% in 2020. The minimum wage was increased by 20% from 2019.

(g) Explain the impact of wages rising faster than inflation on a country such as Mexico.

(3)

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11. Question 1 · part g · 3 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

In 2020, the Vietnamese Government aimed to have an additional 1 million people working in the Information Technology (IT) sector. Unemployed workers were offered IT training courses in colleges and IT centres across Vietnam.

(h) Analyse the impact of education and training on the productive potential of a country such as Vietnam.

(6)

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(Total for Question 1 = 20 marks)

11. Question 1 · part g · 3 marks · Working and answer

Working and answer

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12. Question 1 · part a · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

1 (a) Menu costs could be described as the costs of

(1)

- ☒ **A** searching for cheaper suppliers when inflation is high
- ☒ **B** paying workers for their labour
- ☒ **C** renting a factory
- ☒ **D** reprinting brochures when prices change

(b) Which **one** of the following is likely to cause demand pull inflation?

(1)

- ☒ **A** A decrease in productivity
- ☒ **B** A decrease in government spending
- ☒ **C** An increase in the consumption of goods
- ☒ **D** An increase in interest rates

(c) What is meant by the term imports?

(2)

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12. Question 1 · part a · 1 mark · Working and answer

Working and answer

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13. Question 1 · part g · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part g only.

1 (a) Which **one** of the following describes the recovery phase of the economic cycle?

(1)

- ☒ **A** GDP is growing at its fastest and business activity increases
- ☒ **B** GDP starts to rise and economic activity is on the increase
- ☒ **C** GDP is still growing but more slowly
- ☒ **D** GDP falls for two successive quarters

(b) Which **one** of the following is an example of frictional unemployment?

(1)

- ☒ **A** A bank cuts jobs during a global recession
- ☒ **B** Workers are unemployed whilst waiting to start a new job
- ☒ **C** Fewer workers are employed on fruit farms in the winter months
- ☒ **D** Factory workers lose their jobs as more machines are used

(c) What is meant by the term exports?

(2)

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13. Question 1 · part g · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part g only.

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(d) What is meant by the term globalisation?

(2)

The consumer price index (CPI) was 105.4 in 2021 and it was 100 in the base year 2018.

(e) Calculate how much the **average price level** increased between 2018 and 2021.
You are advised to show your working.

(2)

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13. Question 1 · part g · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part g only.

Figure 1 shows the supply of and demand for UK pounds (£) in terms of US dollars ($) and the equilibrium exchange rate.

(f) Using the diagram below, draw the effects of a decrease in UK exports to the US on the equilibrium exchange rate of UK pounds (£). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

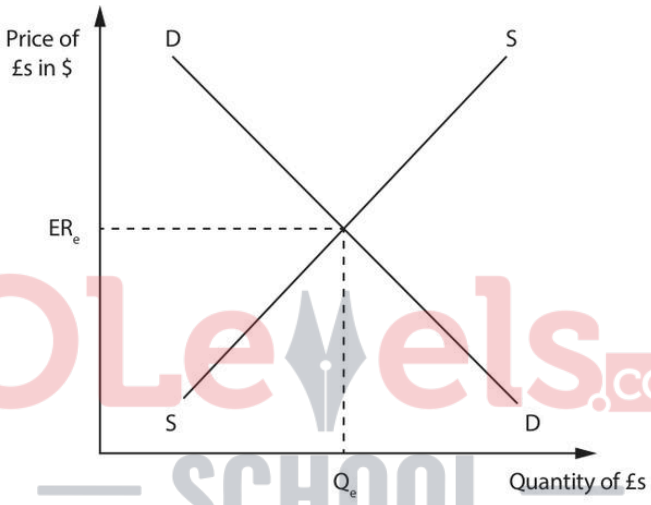


Figure 1

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13. Question 1 · part g · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part g only.

The UK's annual inflation rate was 5.1% in December 2021, its highest rate in a decade. The rise was due to higher prices for transport, food, clothing and footwear.

(g) Explain **one** effect of rising inflation on menu costs in the UK.

(3)

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13. Question 1 · part g · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part g only.

In 2022, Columbia maintained its current import quotas for rice. Rice is a staple food in Columbia and many domestic farmers rely on its production.

(h) Analyse the possible benefits for Columbia of having import quotas.

(6)

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6

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13. Question 1 · part g · 3 marks · Working and answer

Working and answer

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14. Question 3 · part b · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

3 A government has a total expenditure of €700bn and a total revenue of €800bn.

(a) What is the fiscal deficit/surplus?

(1)

- ☒ **A** €1 500bn deficit
- ☒ **B** €100bn deficit
- ☒ **C** €1 500bn surplus
- ☒ **D** €100bn surplus

(b) Which **one** of the following is an example of a menu cost for Nike in its online shop during times of inflation?

(1)

- ☒ **A** The cost of raw materials for producing Nike shoes
- ☒ **B** The cost of updates to the website due to higher prices for shoes
- ☒ **C** The cost to consumers of looking for the lowest price of shoes
- ☒ **D** The cost of shipping and handling fees for online orders

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14. Question 3 · part b · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

(c) Using the diagram below label the remaining three stages of the economic cycle in the boxes on the diagram.

(3)

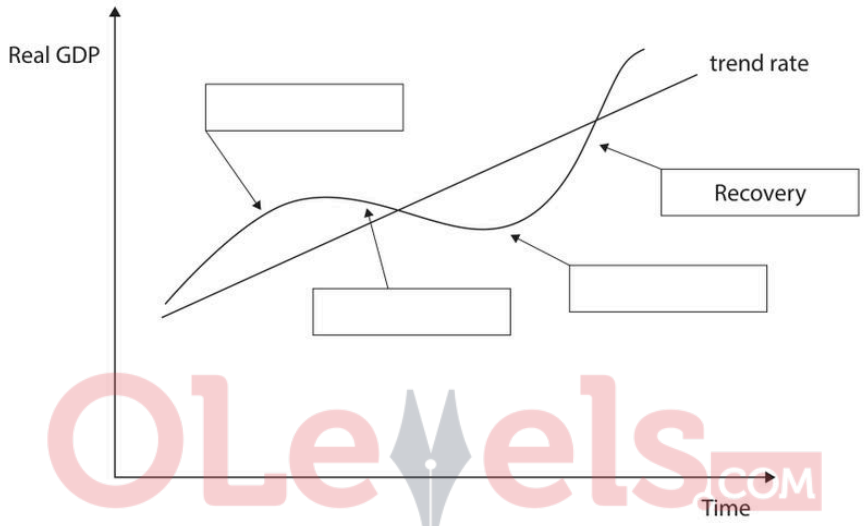


Figure 4

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14. Question 3 · part b · 1 mark · Working and answer

Working and answer

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15. Question 1 · part h · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part h only.

1 (a) Which **one** of the following is a reason why a government wants to reduce poverty and inequality?

(1)

- ☒ **A** It is a legal requirement
- ☒ **B** To increase the gap between rich and poor
- ☒ **C** For basic needs to be met
- ☒ **D** To increase relative poverty

(b) Which **one** of the following is a benefit of using gross domestic product (GDP) as a measure of growth?

(1)

- ☒ **A** It considers the distribution of income
- ☒ **B** It is an accurate measurement of all economic activity
- ☒ **C** It takes inflation into account
- ☒ **D** It is easy to compare economic growth between countries

(c) What is meant by the term deflation?

(2)

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15. Question 1 · part h · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part h only.

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(d) Describe the impact of a reduction in the cost of communication on globalisation.

(2)

Figure 1 shows imports and exports for a country in $bn.

	$bn
Exports of goods	100
Exports of services	26
Imports of goods	87
Imports of services	16

Figure 1

(e) Calculate the **invisible trade balance** in $bn for the country. You are advised to show your working.

(2)

15. Question 1 · part h · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part h only.

In August 2024, India removed a tariff on imports of tomatoes from Nepal.

(f) Using the diagram below, draw the effects of the removal of the tariff on the equilibrium price and quantity of tomatoes in India. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

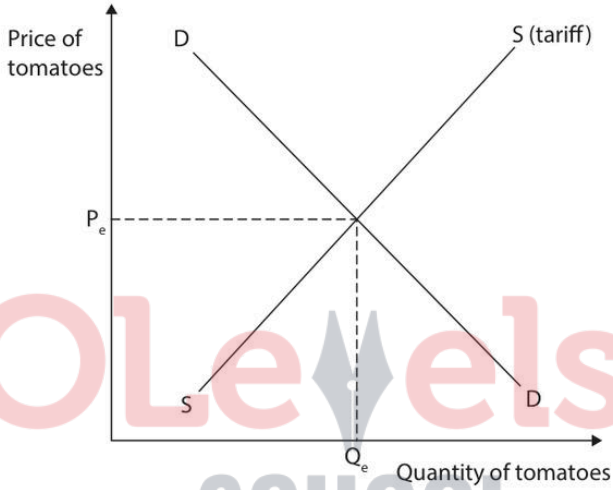


Figure 2

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15. Question 1 · part h · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part h only.

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In Singapore, the government fined a construction company $1m for breaking safety laws that led to the death of a worker. The company had failed to provide adequate safety equipment and training for its workers.

(g) Explain **one** reason why governments use fines.

(3)

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15. Question 1 · part h · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part h only.

Annual inflation in Türkiye was 73.5% in May 2023, the highest rate since 1998.
This was mainly caused by an annual increase of 152.7% in energy prices.

(h) With reference to the data above and your knowledge of economics, analyse how high levels of cost-push inflation affect business confidence in a country such as Türkiye.

(6)

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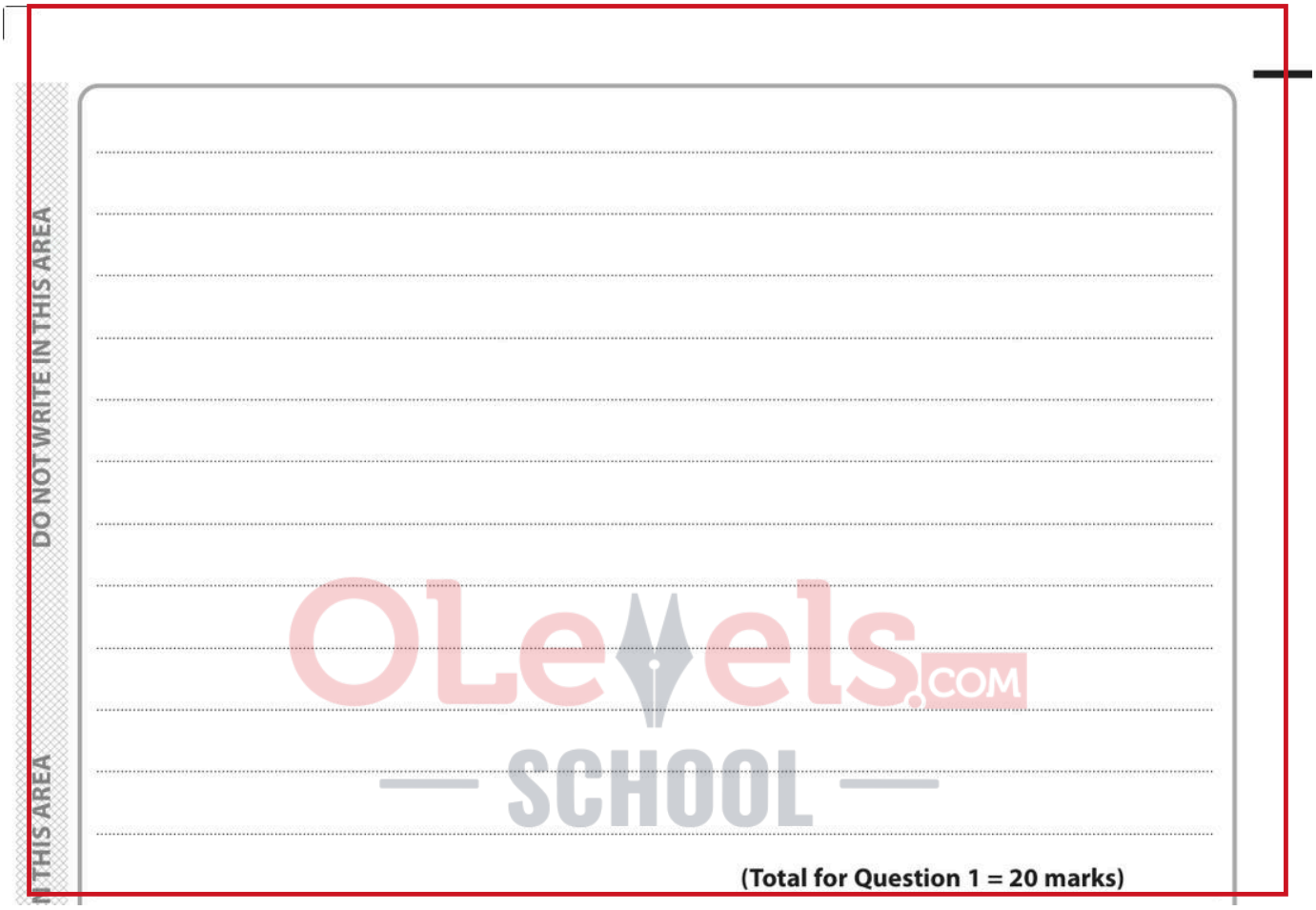
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P 7 5 9 5 5 A 0 6 2 8

15. Question 1 · part h · 6 marks

2024 NOV · Paper 02

Further practice · Attempt part h only.



15. Question 1 · part h · 6 marks · Working and answer

Working and answer

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16. Question 3 · part d · 6 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

3 (a) Which **one** of the following is a feature of being a member of a trading bloc?

(1)

- ☒ **A** Higher tariffs on exports to other members within the bloc
- ☒ **B** Slower delivery times for goods within the bloc
- ☒ **C** Can only trade with members within the bloc
- ☒ **D** Access to a larger market within the bloc

Figure 3 shows imports and exports for a country in $bn.

	$bn
Exports of goods	300
Exports of services	80
Imports of goods	240
Imports of services	50

Figure 3

(b) What is the **visible trade balance** in $bn for the country?

(1)

- ☒ **A** $30bn
- ☒ **B** $60bn
- ☒ **C** $90bn
- ☒ **D** $250bn

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16. Question 3 · part d · 6 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

The fiscal deficit of the US is expected to increase from $1.6tn to $2.6tn over the next 10 years.

(c) Explain **one** possible disadvantage of having a fiscal deficit for a country such as the US.

(3)

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16. Question 3 · part d · 6 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

Consumers in the UK are very unhappy with another rise in inflation. The consumer price index (CPI) was 3.9% in November and increased to 4% in December 2023.

(d) With reference to the data above and your knowledge of economics, analyse the possible impact of rising inflation on shoe leather costs for consumers in the UK.

(6)

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16. Question 3 · part d · 6 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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P 7 2 1 3 5 A 0 1 6 2 8

16. Question 3 · part d · 6 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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Gross domestic product (GDP) growth in France is forecast to remain low over the next two years. Consumer spending is expected to improve as inflation reduces. However, a weak outlook for the German economy, France's main trade partner, and low growth in China are expected to limit any increases in growth.

As a result, unemployment levels are expected to remain high. The interest rate in France (as set by the European Central Bank) was 4.5% in December 2023, but may change in the future.

France	December 2023
GDP growth rate	1%
Inflation	5.8%
Unemployment	7.2%

Figure 4

(e) With reference to the data above and your knowledge of economics, assess how effective monetary policy might be in decreasing unemployment for a country such as France.

(9)

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16. Question 3 · part d · 6 marks · Working and answer

Working and answer

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17. Question 3 · part d · 6 marks

2025 JUN · Paper 02

Further practice · Attempt part d only.

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3 (a) Which **one** of the following is an advantage of pollution permits?

(1)

- ☒ **A** They encourage unlimited industrial emissions
- ☒ **B** They reduce overall pollution by setting emission limits
- ☒ **C** They allow firms to ignore environmental regulations
- ☒ **D** They discourage investment in green technologies

An economy has a national output of €300bn and its current account deficit is €15bn.

(b) What is the current account deficit as a percentage of national output?

(1)

- ☒ **A** 0.05%
- ☒ **B** 2.85%
- ☒ **C** 5%
- ☒ **D** 20%

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17. Question 3 · part d · 6 marks

2025 JUN · Paper 02

Further practice · Attempt part d only.

Data from China revealed that the unemployment rate for young people aged 16 to 24 was 14.9% in December 2023. The number of new graduates significantly exceeded the available jobs, most of which were in lower-skilled sectors.

(c) Explain **one** reason why some people might suffer from structural unemployment in a country such as China.

(3)

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17. Question 3 · part d · 6 marks

2025 JUN · Paper 02

Further practice · Attempt part d only.

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Owners of small firms in the UK are very unhappy with another rise in inflation. The consumer price index (CPI) increased from 3.9% in November to 4% in December 2023.

(d) With reference to the data above and your knowledge of economics, analyse the possible impact of rising inflation on menu costs for small firms in the UK.

(6)

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17. Question 3 · part d · 6 marks

2025 JUN · Paper 02

Further practice · Attempt part d only.

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17. Question 3 · part d · 6 marks

2025 JUN · Paper 02

Further practice · Attempt part d only.

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In 2025, the Government of Italy is to reduce income tax rates for some income tax payers. The higher rate of income tax is to remain the same. The Italian Treasury said that the scheme is 'aimed at simplifying and reducing the tax burden, encouraging investment and recruitment'.

	2024	2025
Up to €8 500	0%	0%
€8 501–€28 000	25%	23%
€28 001–€50 000	35%	33%
€50 001+	43%	43%

Figure 4

(e) With reference to the data above and your knowledge of economics, assess whether lower income tax rates will encourage more people to work in a country such as Italy.

(9)

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17. Question 3 · part d · 6 marks · Working and answer

Working and answer

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18. Question 3 · part a · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part a only.

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3 (a) In times of inflation, which **one** of the following is a shoe leather cost when purchasing a mobile phone online?

(1)

- ☒ **A** The cost of updates to the website due to higher prices for mobile phones
- ☒ **B** The cost of raw materials for producing a mobile phone
- ☒ **C** The cost of shipping and handling fees for online orders
- ☒ **D** The cost to consumers of looking for the lowest price of mobile phones

In 2023, the total value of UK exports to Spain was £19.9bn and the total value of imports from Spain into the UK was £44.2bn.

(b) Calculate the trade balance between the UK and Spain in 2023.

(1)

- ☒ **A** A trade surplus of £24.3bn
- ☒ **B** A trade surplus of £64.1bn
- ☒ **C** A trade deficit of £24.3bn
- ☒ **D** A trade deficit of £64.1.bn

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18. Question 3 · part a · 1 mark · Working and answer

Working and answer

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19. Question 4 · part b · 6 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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4 Figure 4 shows data on the number of people in the labour force in the Netherlands in December 2021.

Labour force	9,210,000
Unemployed	251,000

Figure 4

(Source: https://tradingeconomics.com/netherlands/unemployment-rate)

(a) Calculate, to two decimal places, the **rate of unemployment** in the Netherlands in December 2021. You are advised to show your working.

(2)

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19. Question 4 · part b · 6 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

Figure 5 shows the rate of inflation (%) for the Netherlands from January 2021 until November 2021.

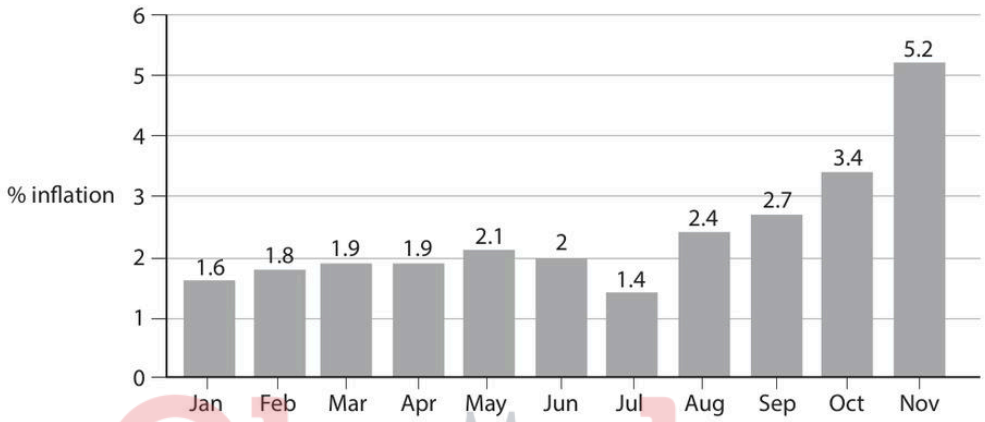


Figure 5

(Source: https://tradingeconomics.com/netherlands/inflation-cpi)

(b) With reference to the data above and your knowledge of economics, analyse the possible impact of rising inflation on exports for a country such as the Netherlands.

(6)

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19. Question 4 · part b · 6 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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19. Question 4 · part b · 6 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

The Tata Steel steelworks in IJmuiden, Netherlands, will have to meet tougher rules on pollution and will have extra checks to make sure it improves the air quality around the plant. These include reducing Tata Steel's current pollution permits and will require it to change some production processes.

The government made the decision following the publication of a report which concluded that dust in the IJmuiden region contained high levels of dangerous metals such as lead. An earlier report stated that air quality in the area was poor to inadequate.

Tata Steel in the Netherlands has a total workforce of 11,000 and indirectly provides work for thousands in the local economy.

(Source: https://www.dutchnews.nl/news/2021/12/tata-steel-faces-tougher-permit-rules-and-more-pollution-checks/)

(c) With reference to the data above and your knowledge of economics, evaluate the effectiveness of using pollution permits to protect the environment of a country such as the Netherlands.

(12)

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19. Question 4 · part b · 6 marks · Working and answer

Working and answer

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